



STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY

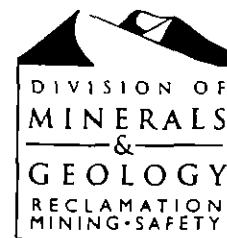
Department of Natural Resources

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Bill Owens
Governor

Greg E. Walcher
Executive Director

Michael B. Long
Division Director

October 18, 1999

Mr. John Lohr
Southdown Co., Inc.
P.O. Box 529
Lyons, CO 80540

RE: Review of Response to Technical Adequacy Review Comments on the Report on Storage of Cement Kiln Dust at the Southdown Inc. Lyons Plant, Lyons Quarry, Permit No. #M-77-208

Dear Mr. Lohr,

This letter is being written to address both the remaining technical issues which need clarification in the recent report submitted by Banks & Gesso on behalf of Southdown Co., Inc., addressing the storage of Cement Kiln Dust (CKD) in C-Pit at the Lyons Quarry, Permit No. #M-77-208, and the need for a technical revision to include these measures in your current permit. Upon review of this report, and the results of the chemical leach testing and hydrological models for the site, it has become clear that measures such as an interim capping of the disposal site, and an upper limit on the amount of CKD to be stored prior to the capping, as well as any other additional reclamation measures to be included, must be written into the current permit. Accordingly, the Division of Minerals and Geology requires that Southdown Inc. submit a technical revision to Permit No. #M-77-208, Lyons Quarry, by November 19, 1999, for the storage of CKD in the C-Pit and the addition of interim capping and volume storage limits prior to reclamation, in accordance with Rule 3.1.7(2)(c)(i) of the Hard Rock Rules and Regulations, which states that "permit conditions shall be protective of the existing and reasonably potential future uses of the groundwater that may be affected."

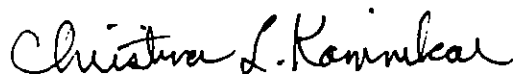
Having received the requested response to our technical adequacy review from Banks & Gesso on September 30, DMG personnel have reviewed the document and have a few concerns which still need to be addressed

- 1) In Item No. 2: Modeling of the CKD Disposal Site as an Open vs. Closed Disposal Site, it is stated that the open and closed models of the site which were studied in this report were for conditions with an interim cap on the CKD. We still have not received any analyses of the site without any capping, open, and with the maximum amount of CKD exposed. Any technical revisions which are submitted to DMG should include this information.

- 2) What is the estimated time frame for which seven acres of CKD would be exposed without an interim cap? The production estimates included in the report seem to indicate that approximately 7 acres of CKD would be disposed of within the pit, and then an annual interim capping would take place of the acreage in question. DMG suggests that no greater volume of CKD than is exposed at the site at this time, should be exposed at any one time in the future without an interim cap, since levels of the contaminants of concern (thallium and selenium) are currently within acceptable standards in Pond A. Continued monitoring of Pond A for changes in these levels, and inclusion of a monitoring plan for the pond, is also suggested.

Please submit a technical revision to your permit by November 19, 1999. If you have any further questions, please contact me at (303) 866-3567.

Sincerely,



Christina L. Kamnikar
Environmental Protection Specialist

Cc: Carl B. Mount, DMG
H. Bruce Humphries, DMG
Harry H. Posey, DMG
Paul Banks, Banks & Gesso
St. Vrain Community Watch Dogs Group